



Market Monitor

No.22 – October 2014

www.amis-outlook.org

The **Market Monitor** is a product of the [Agricultural Market Information System \(AMIS\)](#). It covers the international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the ten international organizations that form the AMIS Secretariat. Ultimately, the report aims at improving market transparency and detecting emerging problems that might warrant the attention of policy makers.

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WORLD TRADE
ORGANIZATION

World Supply-Demand Outlook

Latest indications confirm the abundance of wheat supplies and improved production prospects for maize. The outlook for soybeans is equally positive. Although rice production prospects have been revised downward somewhat, availabilities remain ample. Against this background, international prices of AMIS crops generally weakened in September.

	From previous month f'cast	From previous season
Wheat	▲	▲
Maize	▲	▲
Rice	▼	▼
Soybeans	■	▲
▲ <i>Easing</i>	■ <i>Neutral</i>	▼ <i>Tightening</i>

WHEAT	million tonnes				FAO-AMIS		
	USDA		IGC		2013/14		2014/15
	2013/14	2014/15	2013/14	2014/15	2013/14	2014/15	
	est.	f'cast	est.	f'cast	est.	f'cast	
		11-Sep		25-Sep		11-Sep	9-Oct
Production	714	720	713	717	717	717	719
Supply	890	906	883	904	875	891	895
Utilization	703	710	695	709	689	700	701
Trade	166	155	155	147	157	148	150
Ending Stocks	186	196	187	195	176	188	192

- **Wheat** production in 2014 to hit a record with bigger than earlier anticipated outputs in China, India, the Russian Federation and Ukraine.
- Utilization to expand by 1.8 percent in 2014/15, on strong growth in feed usage after two consecutive seasons of decline.
- Trade forecast for 2014/15 raised, although not enough to reach the 2013/14 record as large domestic supplies in many importing countries curb world import demand.
- Stocks (ending in 2015) forecast to increase more than anticipated earlier on upward adjustments to this season's opening stocks and production.

MAIZE	million tonnes				FAO-AMIS		
	USDA		IGC		2013/14		2014/15
	2013/14	2014/15	2013/14	2014/15	2013/14	2014/15	
	est.	f'cast	est.	f'cast	est.	f'cast	
		11-Sep		25-Sep		11-Sep	9-Oct
Production	987	988	983	974	1011	1008	1018
Supply	1125	1161	1115	1150	1141	1185	1194
Utilization	952	971	940	959	944	970	970
Trade	129	115	120	115	124	112	114
Ending Stocks	173	190	176	191	176	207	211

- **Maize** production in 2014 forecast to expand significantly to a new record, primarily on improved crop prospects in the US.
- Utilization in 2014/15 to increase by 2.7 percent with much of the expansion in China, Brazil, the EU and the US.
- Trade forecast for 2014/15 raised on upward adjustments to imports by several countries in Asia and South America.
- Stocks (ending in 2015) to increase more than anticipated earlier, following the upgrading of production forecasts in several countries.

RICE	million tonnes				FAO-AMIS		
	USDA		IGC		2013/14		2014/15
	2013/14	2014/15	2013/14	2014/15	2013/14	2014/15	
	est.	f'cast	est.	f'cast	est.	f'cast	
		11-Sep		25-Sep		11-Sep	9-Oct
Production	476	477	476	476	498	500	496
Supply	586	587	586	585	674	682	678
Utilization	476	482	477	481	492	502	500
Trade	41	41	40	41	40	40	40
Ending Stocks	110	105	109	104	181	179	178

- **Rice** production in 2014 downgraded again, on worsening prospects, especially in China, India, Pakistan and the US.
- Utilization lowered somewhat since September and now foreseen to grow by 1.7 percent year-on-year, allowing for a small increase in per caput food consumption.
- Trade in calendar year 2015 raised to 40 million tonnes, slightly above the record 2014 estimate.
- Stocks (ending in 2015) trimmed again since September and now set to decline by 2 percent from 2014, with largest absolute declines expected in India, Indonesia, Myanmar, Sri Lanka and Thailand.

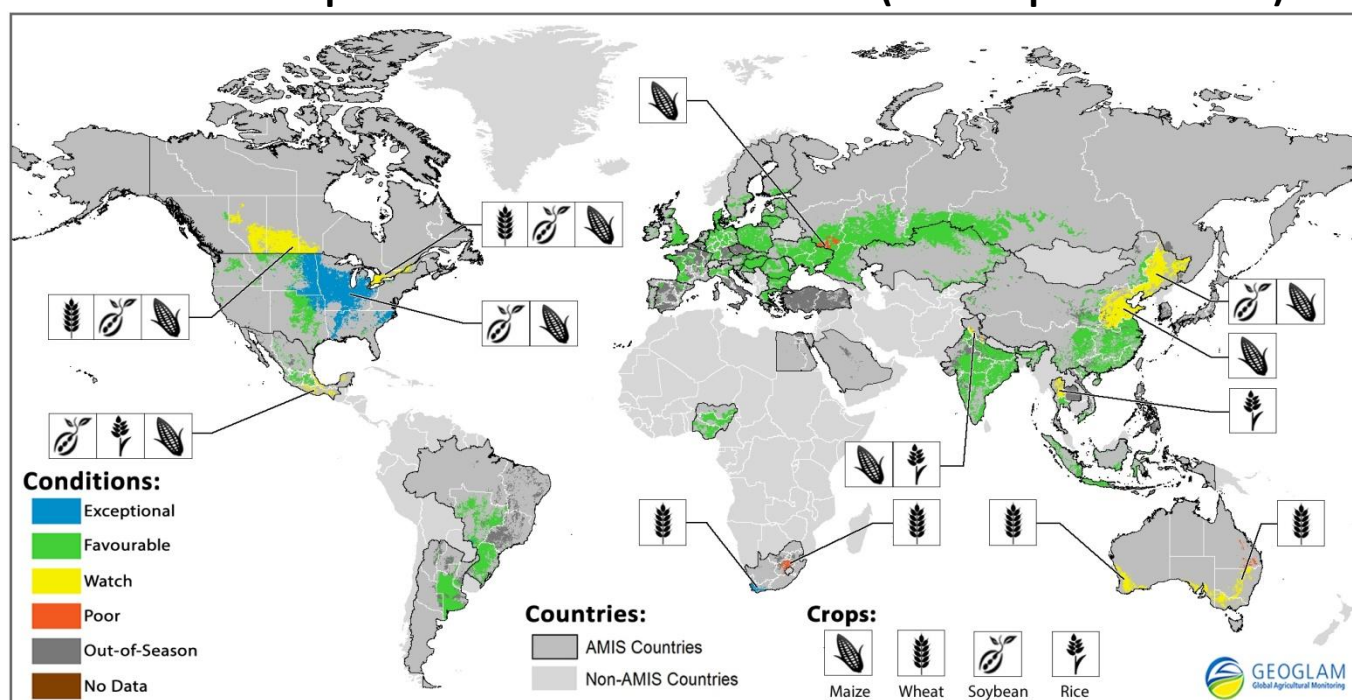
SOYBEANS	million tonnes				FAO-AMIS		
	USDA		IGC		2013/14		2014/15
	2013/14	2014/15	2013/14	2014/15	2013/14	2014/15	
	est.	f'cast	est.	f'cast	est.	f'cast	
		11-Sep		25-Sep		11-Sep	9-Oct
Production	283	311	282	310	282	306	309
Supply	340	378	309	339	310	337	339
Utilization	269	285	281	300	278	296	298
Trade	113	115	111	114	115	116	118
Ending Stocks	67	90	29	39	31	42	41

- **Soybean** production forecast revised upward on record-high yields in the US and higher planting projections in Brazil.
- Utilization anticipated to expand by 7-8 percent (compared with 5 percent in 2013/14), underpinned by firm demand for both soymeal and soyoil.
- Trade forecast for 2014/15 raised on higher import projections for China and other countries in Asia and increased export forecasts in the US, Ukraine and Brazil.
- Stocks in 2014/15 (carry-out) to recover significantly, largely driven by replenishments in the US and Brazil.

All totals (world estimates and forecasts) shown are computed from unrounded data. All changes, in absolute or percentage terms, are also calculated based on unrounded figures and accordingly reported in the supply/demand commentaries. Analysis presented in this report is largely based on information as of late September 2014. **Explanatory notes** and list of **sources** are available at the end of the report.

Crop Monitor*

Crop Conditions in AMIS countries (as of September 28th)



Crop condition map synthesizing information for all four AMIS crops as of September 28th. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Crops that are in other than favourable conditions are displayed on the map with their crop symbol.**

Highlights

Wheat conditions remain mostly favourable. In the northern hemisphere, the spring wheat season is coming to a close and winter wheat planting has begun. In Kazakhstan, Russia, US and China spring wheat conditions remain generally favourable. In Canada, spring wheat conditions have deteriorated due to ongoing excess of moisture, cool conditions and frost damage. In the southern hemisphere, wheat is mostly in vegetative to reproductive stages. In Australia, conditions remain mixed and overall yield prospects are reduced. Slightly warmer temperatures and below normal precipitation exacerbated crop deterioration in southern growing regions. In contrast, recent rainfall across Western Australia and central Queensland benefited late planted crops. Timely rainfall will be critical for sustaining crops through to harvest. In South Africa, Brazil, and Argentina conditions remain favourable though there is still some concern due to excess rainfall in parts of Argentina.

Maize overall conditions remain favourable. In the northern hemisphere, conditions remain very good in the US and good in the EU owing to favourable weather. In China, concern remains due to earlier dry and hot weather. In Russia concern remains over the central region and in Ukraine conditions have improved. In Mexico conditions remain generally favourable. In the southern hemisphere, planting has begun and conditions are favourable in Brazil and Argentina.

Rice conditions remain favourable. In India, conditions are mostly favourable and the crop is in vegetative to reproductive stages. In Indonesia and Thailand conditions are favourable, however, some concern remains over excess moisture in Thailand. In China, conditions are favourable. However, there is some concern over excess moisture due to Typhoon Kalmaegi. In Viet Nam, conditions are good however total planted area is down relative to last year.

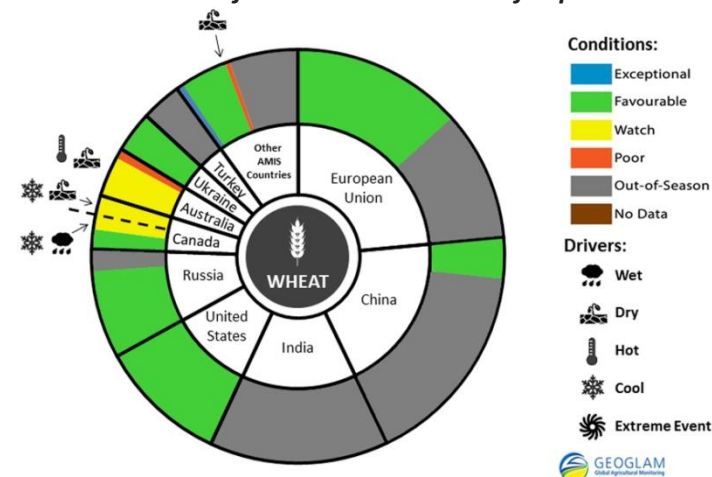
Soybeans overall conditions are very good primarily owing to the US crop. In the northern hemisphere a record crop is expected in the US owing to good weather and increased area. In China, conditions are generally favourable though concern remains due to earlier dry conditions in parts of the northeaster growing region. In Canada, conditions remain mixed due to the ongoing cool and wet weather and recent frost events. In the southern hemisphere the planting season has begun in Brazil under favourable conditions.

El Niño situation update

Outlooks released in mid and late September by the Australian Bureau of Meteorology, the International Research Institute for Climate and Society, and the U.S. National Oceanic and Atmospheric Administration put the probability of an El Niño event during the 2014-2015 southern hemisphere growing season above 50%. Model projections suggest the event will not be a strong one. Potential impacts of El Niño should be considered nonetheless. These include below-normal rainfall in parts of Asia, Southern Africa, and Australia, potentially affecting rice, maize, and wheat. In major regions of South America, El Niño is often associated with above-average rainfall potentially benefiting maize, soy and wheat.

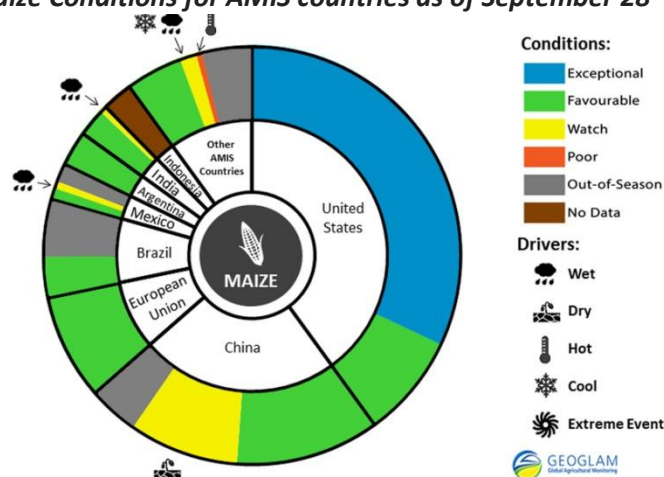
Wheat conditions in the northern hemisphere remain favourable. The spring wheat season is drawing to a close and winter wheat planting is in progress. In **Russia**, spring wheat prospects remain favourable as harvest is close to completion. Winter wheat planting is progressing well owing to favourable weather that boosted moisture conditions. In **Ukraine**, winter wheat planting has initiated under mostly favourable conditions. Recent precipitation helped to alleviate dry conditions, however dryness continued in southern regions. In **Kazakhstan**, spring wheat conditions remain overall favourable and harvest in the main wheat zone is in progress with reported yield slightly below average. In the **EU**, harvest is complete and overall yields remain favourable, slightly above the 5-year average. Winter wheat planting has started as normal. In the **US**, spring wheat conditions are overall favourable. Harvest is nearly complete after some delays in northern areas due to wet conditions. Planting of winter wheat is underway. In **Canada**, conditions have deteriorated. In the Prairies, dry conditions and frost in early September caused crop damage, though the full impact will not be known until harvest is complete. In addition the ongoing excess moisture and cool conditions continue to delay harvest by a couple of weeks. In eastern regions conditions were good and harvest was progressing normally until a mid September frost event. Impacts are still to be determined. In **Argentina**, conditions remain generally good, and the crop is in vegetative to reproductive stages. Concern remains due to excess moisture in south-western Buenos Aires region. In **Brazil**, weather conditions are favourable. Planted area increased relative to last year and an increase in production is likely. Sowing is concluded and the crop is mostly in reproductive to harvest stages. In **Australia**, conditions remain mixed and overall yield prospects are reduced. Slightly warmer temperatures and below normal precipitation exacerbated crop deterioration in southern growing regions where soil moisture deficits persisted since August. In contrast, recent rainfall across Western Australia and central Queensland benefited late planted crops. Timely rainfall will be critical for sustaining crops through to harvest. In **South Africa** conditions remain favourable over the winter rainfall region (main area) owing to normal to above-normal rainfall in winter, and yields are expected to be similar to last year. Over the summer rainfall region, below-normal rain since April resulted in reduced planted area.

Wheat Conditions for AMIS countries as of September 28th.



For detailed description of the pie chart please see box on page 4.

Maize Conditions for AMIS countries as of September 28th.



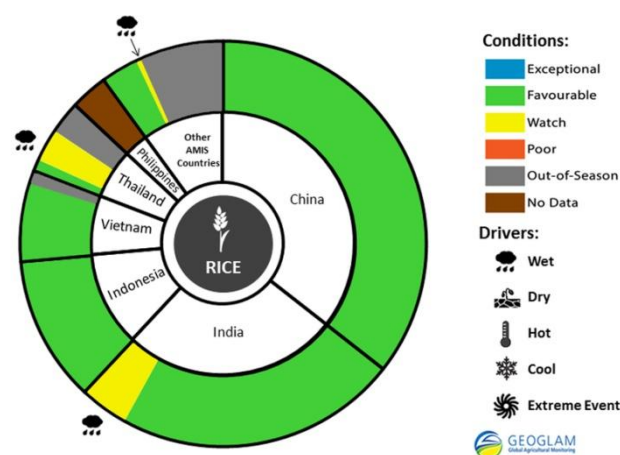
For detailed description of the pie chart please see box on page 4.

favourable with sufficient moisture for crop development. Sowing of the spring-planted crop is complete. There is some concern over excess moisture in a few production areas in southern growing regions, but without considerable damage to production. In **Canada**, conditions remain mixed and harvest is underway. Wet weather remains a concern and is delaying harvest. In addition, there is some concern over the September frost events. In **Nigeria**, conditions improved and are favourable. In the southern hemisphere conditions are favourable. In **Brazil** weather conditions are favourable for sowing of the first crop. In **Argentina**, planting is progressing in Buenos Aires, Cordoba and Santa Fe and conditions are overall favourable for the emerging crops.

Maize conditions in the northern hemisphere remain overall favourable. In the **US**, the crop will likely surpass both yield and production records in large part due to excellent and consistent summer conditions, particularly in the dominant Corn Belt region. In the **EU**, yield prospects of grain maize remain good despite limited local concerns due to excessive rainfall. In **Russia**, harvest is underway. Concern remains in the central region where yields are expected to be down relative to last year. In **Ukraine**, prospects improved for maize. Quality is expected to be average and harvest is progressing. In **China**, conditions remain mixed with concern across much of the North China Plain and Northeast growing regions due to earlier dry conditions. In south-western regions, maize harvest is mostly complete. In **Mexico** conditions remain generally favourable.

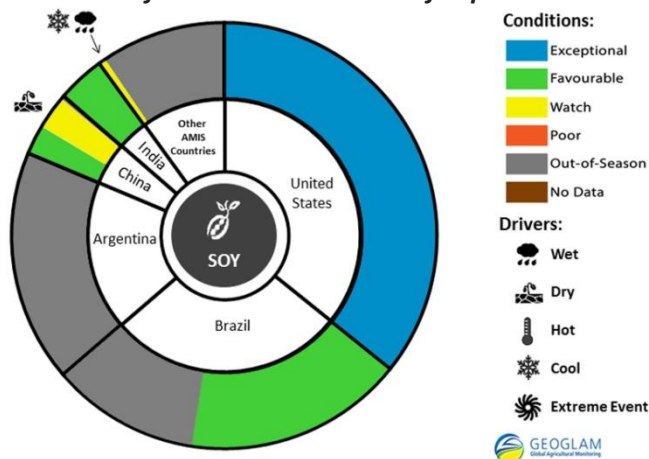
Rice conditions are generally favourable. In **India**, conditions are mostly favourable and the crop is in vegetative to reproductive stages. In **Indonesia**, the dry season crop conditions remain favourable. Rice growth stages range between vegetative to maturity stages depending on planting date. In **Viet Nam**, overall conditions of the summer, the summer-autumn, and autumn-winter crops are good. However, total planted area is lower relative to last year. Growth stages range from transplanting to harvest. In **Thailand**, overall conditions are favourable. Some concern remains over wet season rice in some provinces in the north and northeast due to heavy rainfall and some flooding. Overall planted area of wet season rice has decreased relative to last year in favour of other crops. In **China**, conditions remain generally favourable. However, there is some concern due to typhoon Kalmaegi, which brought heavy rainstorms to southern growing regions. Single cropped rice is mostly in heading to harvest stages, while late season rice is in booting to flowering stages. In the **EU**, the rice crop is still progressing as normal. In the **US**, conditions are favourable and much of the crop has been harvested. In **Nigeria**, conditions are favourable. In **Brazil**, the main producer state started the soil tillage in preparation for the next crop.

Rice Conditions for AMIS countries as of September 28th.



For detailed description of the pie chart please see box below.

Soy Conditions for AMIS countries as of September 28th.



For detailed description of the pie chart please see box below.

area has been on the rise. In **Brazil**, the planting season began in main producer states under mostly favourable conditions.

Soybeans prospects in the northern hemisphere are overall very good primarily owing to the US crop. In the **US**, there will be an exceptionally large soybean crop, well surpassing past production records. This is due to both very good growing conditions, which have occurred throughout the summer, and a big increase in planted area from previous years. In **Canada**, conditions remain mixed due to excess moisture and a cooler than normal summer and recent frost events. Development is generally a week behind normal, with frost becoming an increasing risk. In **China**, conditions remain generally favourable except in the western and southern parts of the northeast soybean producing area where persistent drought occurred earlier in the season. The crop is mainly in maturity stages. In **Nigeria**, conditions are favourable owing to good moisture conditions. In addition planted

Pie chart description: Each slice represents a country's share of total AMIS production (5-year average). Main producing countries (representing 90 percent of production) are shown individually, with the remaining 10 percent grouped into the "Other AMIS Countries" category. The area within each slice is divided between crops in-season (colour) and out-of-season (gray). The in-season portion is coloured according to the various crop conditions within that country. When conditions are labelled as 'poor' or 'watch', icons are added that provide information on the key climatic drivers affecting conditions. The coloured areas reflect conditions by area rather than overall national production.

Sources and Disclaimers: The Crop Monitor assessment is conducted by GEOGLAM with inputs from the following partners (in alphabetical order): Argentina (INTA), Asia Rice Countries (AFSIS, ASEAN+3 & Asia RiCE), Australia (ABARES & CSIRO), Brazil (CONAB & INPE), Canada (AAFC), China (CAS), EU (EC JRC MARS), Indonesia (LAPAN & MOA), International (CIMMYT, FAO, IFPRI & IIRI), Japan (JAXA), Mexico (SIAP), Russia (IKI), South Africa (ARC & GeoTerraImage & SANSA), Thailand (GISTDA & OAE), Ukraine (NASU-NSAU & UHMC), USA (NASA, UMD, USGS – FEWS NET, USDA (FAS, NASS)), Viet nam (VAST & VIMHE-MARD). The findings and conclusions in this joint multi-agency report are consensual statements from the GEOGLAM experts, and do not necessarily reflect those of the individual agencies represented by these experts. Map data sources: Major crop type areas based on the IFPRI/IIASA SPAM 2005 beta release (2013), USDA/NASS 2013 CDL, 2013 AAFC Annual Crop Inventory Map, GLAM/UMD, GLAD/UMD, Australian Land Use and Management Classification (Version 7), SIAP, ARC, and JRC. Crop calendars based on GEOGLAM partner crop calendars and USDA crop calendars.

More detailed information on the GEOGLAM crop assessments is available www.geoglam-crop-monitor.org.

For more information regarding on the new crop monitor and pie charts: <http://www.geoglam-crop-monitor.org/content/about-geoglam-crop-monitor>.

Policy Developments

WHEAT

- **Brazil** approved a BRL 350 million (USD 144 million) subsidy to purchase wheat for public stocks and also to cover the gap between market prices and the minimum guaranteed price and also to build stocks.

MAIZE

- On 18 September, the **European Union** raised import duties on maize as well as sorghum and rye to EUR 10.44 per tonne (USD 13.31 per tonne). Previously and since 16 July 2014 a EUR 5.32 per tonne (USD 6.78 per tonne) import duty had applied for the first time since August 2010.

RICE

- **Indonesia's** state procurement agency, Bulog, reported purchase of rice from **Thailand** and **Viet Nam** for government reserves.
- **The Philippines** agreed government to government deals for the purchase of 300 000 tonnes of rice from Thailand and of 200 000 tonnes of rice from Viet Nam.
- **South Korea** announced the details of its new rice policy. As from 1 January 2015, an in-quota import tariff rate of 5 percent will apply to a tariff rate quota of 409 000 tonnes. An import tariff of 513 percent will apply to out-of-quota imports. The WTO notification procedure should take place in the meantime. Furthermore, area payments to rice farmers will be increased by 10 percent to KRW 1 million per ha (USD 1 000 per ha).
- Tenders were held to sell rice from public stocks in **Thailand**.

BIOFUELS

- A decision is pending on whether the **US** biofuel targets for 2014 will be raised.
- **Argentina** raised its ethanol blend mandate from 8 percent to 8.5 percent with a 0.5 percent monthly increment to reach 10 percent in December 2014. The details of a new domestic pricing system are under consideration.

International Prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	Sep- 2014 Average*	% Change	
		M/M	Y/Y
GOI	224	- 5.7%	- 13.1%
Wheat	219	- 0.2%	- 5.5%
Maize	180	- 7.7%	- 18.3%
Rice	183	- 2.1%	+ 1.5%
Soybeans	224	- 9.1%	- 18.7%

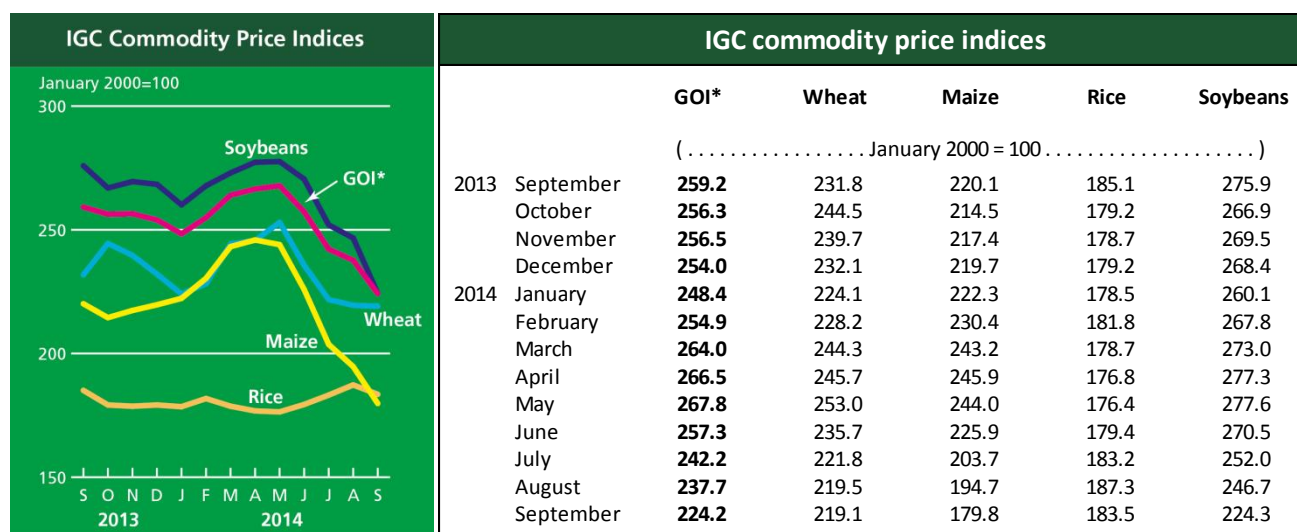
*Jan 2000=100, derived from daily export quotations

Wheat: World wheat market prices remained weak, at around four-year lows. Prices were pressured by a record production outlook, although worries about poor harvest quality in some areas lifted values for premium milling wheat. The strong pace of Black Sea exports started to wane amid less competitive prices, especially relative to the EU, whose sales exceeded earlier expectations. US exports stayed slow, with a stronger dollar exacerbating poor price competitiveness.

Maize: World maize export prices tumbled to four-year lows on the heavy supply outlook and strong competition for export business. With the US harvest underway, there was pressure from reports of exceptional yields. Expectations for record US production helped to offset ideas that sown area in South America would fall y/y, contained by weak prices and high input costs.

Rice: Global markets for white and parboiled rice mostly weakened, as pressure from ample world availabilities outweighed support from an uptick in demand, highlighted by large purchases of broken rice by Indonesia and the Philippines for state reserves. Declines in Thailand also reflected government efforts to offload big intervention reserves through a series of auctions. In South Asia, markets were pressured by movements in currencies, while comfortable supplies and the expected start of India's summer-sown (kharif) harvest in early October added to the negative tone.

Soybeans: World soybean export prices fell steeply during September, to around four-year lows, weighed by favourable growing conditions for what is expected to be a record US outturn. The decline in prices stimulated fresh buying interest from Chinese importers, with a number of significant deals agreed in recent weeks. However, this had only a limited impact on sentiment, especially since harvesting commenced in southern US areas in the second half of the month. Adding to pressure was the mid-month start of plantings for Brazil's 2014/15 crop.



*GOI: Grains and Oilseeds Index

Futures Markets

Futures Prices

	Sep 2014 Average	% Change	
		M/M	Y/Y
Wheat	184	-8.5%	-22.8%
Maize	132	-6.7%	-28.0%
Rice	277	-2.0%	-19.3%
Soybeans	369	-14.8%	-26.7%

Source: CME

Historical Volatility – 30 Days

	Monthly Averages		
	Sep 2014	Aug 2014	Sep 2013
Wheat (Nearby)	26.2%	33.3%	19.4%
Maize (May)	24.4%	22.5%	34.0%
Rice (Nearby)	15.2%	32.1%	27.3%
Soybeans(Nearby)	46.7%	39.8%	39.7%

Futures Prices

Prices for wheat, maize and rice declined 6 to 7 percent m/m while soybean prices dropped 13 percent. Warm and dry weather conditions just prior to US harvest capped off a nearly perfect growing season, eclipsing concerns over possible early frost. Reports of record breaking soybean yields in some of the southern states combined with export demand uncertainties caused soybean prices to fall the most. Since reaching contract highs in 2012, maize has lost 60 percent of its value while wheat and soybeans have lost about 50 percent of theirs.

Volumes and Volatility

Volumes declined considerably m/m for wheat and maize – 44 and 34 percent respectively, but increased in soybeans by 17 percent. The swift price decline in soybeans caused historical volatility to climb to the mid-forties, while levels for wheat and maize remained in the mid- twenties. Implied volatility, conveying futures price expectations via the options market, remained relatively subdued - clustered in the 20 to 25 range.

Forward curves

Forward curves remained in upward sloping configurations (contango) indicating the need to carry the enormous US crops forward. Only the soybean market maintained a small downward slope from July 2014 to Nov 2014 (old crop, new crop spread), possibly reflecting supply uncertainty in South America, where soybean planting has just begun or otherwise predicting strong US producer holding by next summer.

Basis levels

Basis levels for wheat, maize and soybeans have dropped significantly m/m reflecting the high cost of storage and handling of record supplies. Average basis levels for central Illinois stood at minus USD 0.38 per bushel December futures (minus USD 15 per tonne) for maize and minus USD 0.21 per bushel November futures (minus USD 8 per tonne) for soybeans. These levels were similar for Iowa which together with Illinois produce 40 percent of the maize crop and nearly 30 percent of the soybean crop in the US. The soybean basis dropped the most precipitously as processors had been willing to pay plus USD 2 per bushel premium (USD 74 per tonne) to futures prices at season's end in order to keep processing plants running. In soft red wheat, basis levels were weak in the main production Ohio River basin at approximately minus USD 0.80 per bushel December futures (minus USD 30 per tonne) reflecting weak export demand.

Investment flows

Managed money increased its net short wheat position while slightly paring its net long maize position. Investment flows in soybeans were more complex, revealing significant options activities opposite futures activities. Since mid-July, managed money has built sizable net short positions in the options market, such as put option purchases or call option sales, even though it has continued to maintain net longs in futures only positions. Commercial traders (along with swaps dealers) have taken opposite long positions in these options. In contrast to the wheat and maize markets, soybean open interest numbers for futures and options have grown substantially (about 33 percent) over the past two and a half months to a record level 1.213 million contracts (options contracts computed according to CFTC methodology). This sizable open interest may be reflecting varying opinions on global demand and the importance of South American supplies next spring 2015.

Monthly US Ethanol Update

- Cash maize prices fell through September as harvest began on an expected large US maize and soybean crop.
- While (nearby futures) prices for RBOB gasoline fell, ethanol dropped by even more, reducing the ethanol to RBOB gasoline price ratio to below 75 percent.
- Ethanol prices declined faster than maize prices, significantly trimming ethanol producer margins as September progressed.
- Prices of DDGS fell along with maize, but losses were slightly more modest. Ethanol production slowed in September but the production pace was uneven from week to week reflecting lower ethanol prices and seasonal maintenance downtime.
- The US Environmental Protection Agency has yet to release the final renewable fuels mandate for 2014.

Spot prices IA, NE and IL/eastern corn belt average	September 2014	August 2014	September 2013
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Maize price (USD per tonne)	133.62	141.04	202.12
DDGs (USD per tonne)	129.33	123.92	243.41
Ethanol price (USD per gallon)	1.78	2.12	2.30

Nearby Futures Prices

CME, NYSE

Ethanol (USD per gallon)	1.77	2.12	2.09
RBOB Gasoline (USD per gallon)	2.60	2.72	2.75
Ethanol/RBOB price ratio	68.0%	77.4%	76.1%

Ethanol Margins

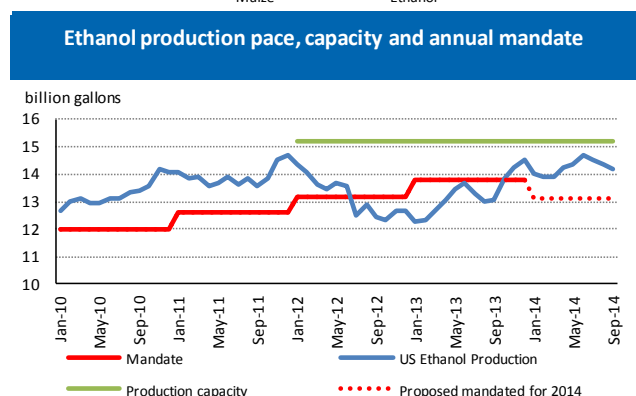
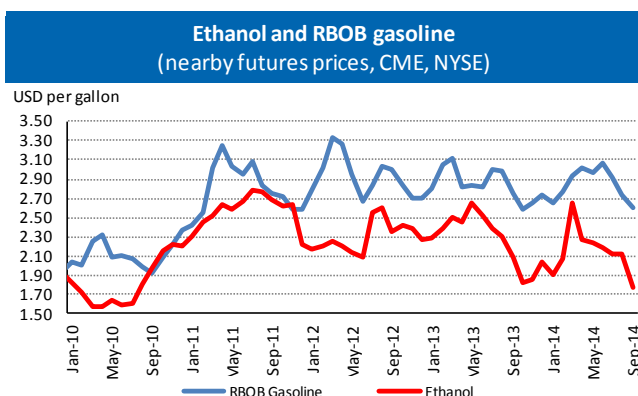
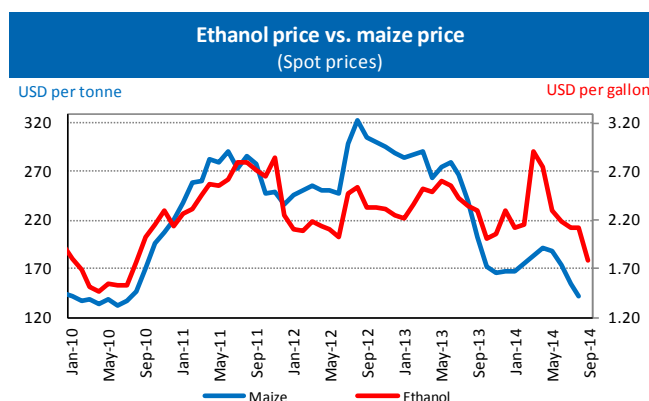
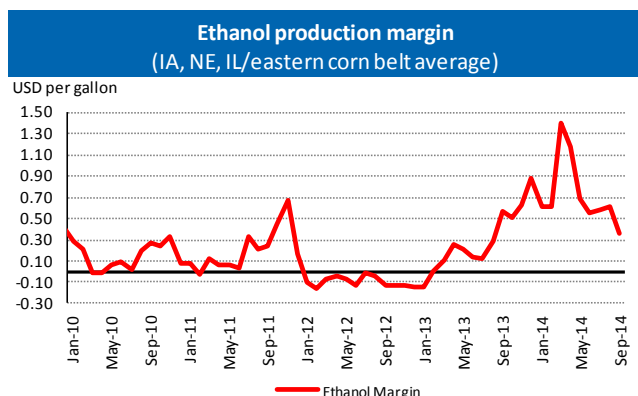
IA, NE and IL/eastern corn belt
average, USD per gallon)

Ethanol receipts	1.78	2.12	2.30
DDGS receipts	0.36	0.35	0.68
Maize costs	1.23	1.30	1.87
Other costs	0.55	0.55	0.55
Production margin	0.36	0.62	0.57

Ethanol Production

(million gallons)

Monthly production total	1,165	1,217	1,074
Annualized production pace	14,171	14,332	13,063



Based on USDA data and private sources.

Chart and tables description:

Ethanol Production Margins: The ethanol margin gives an indication of the profitability of maize-based ethanol production in the United States. It uses current market prices for maize, Dried Distillers Grains (DDGs) and ethanol, with an additional USD 0.55 per gallon of production costs

Ethanol Production Pace, Capacity and Mandate: Overview of the volume of maize-based ethanol production in the United States; it also highlights overall production capacity and the production volume that is mandated by public legislation. Name-plate (i.e. nominal) ethanol production capacity in the US is roughly 14.9 billion gallons per annum, but plants can exceed this level, so the actual capacity is assumed to be 15.2 billion gallons.

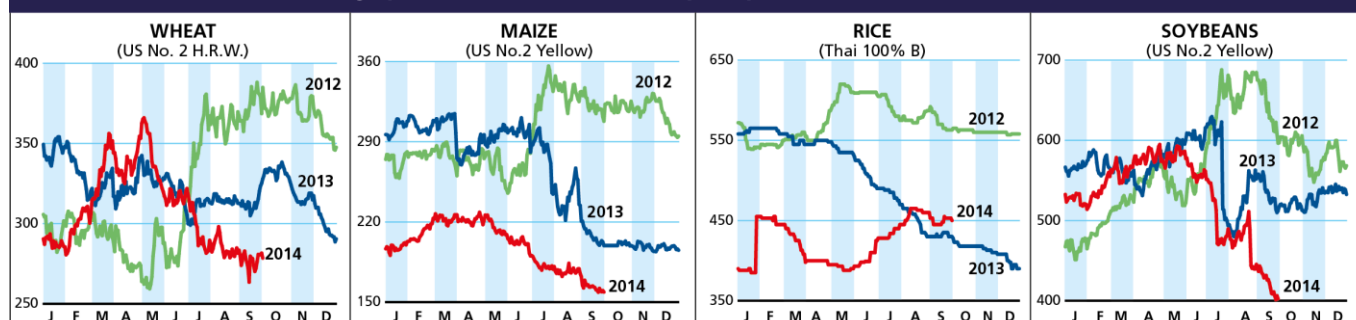
DDGs: By-product of maize-based biofuel production, commonly used as feedstuff.

RBOB: Reformulated Blendstock for Oxygenate Blending, gasoline nearby futures (NYSE).

Supplementary tables and charts

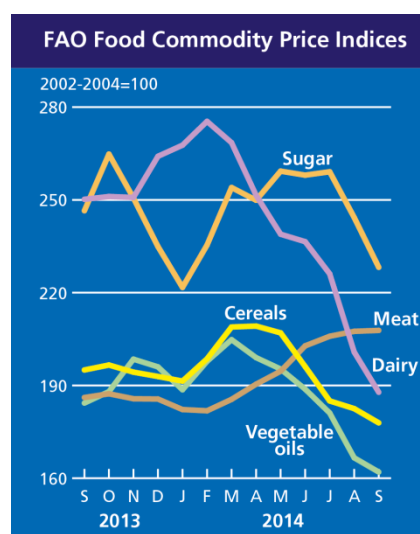
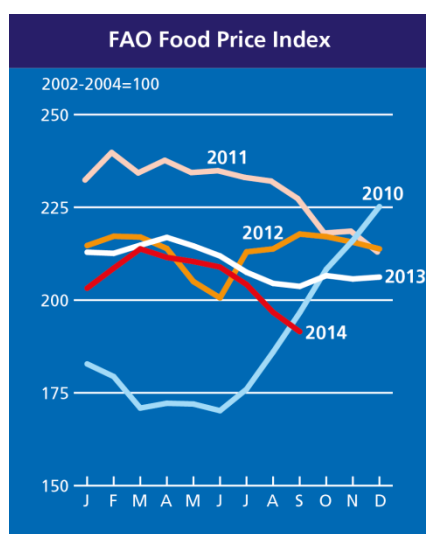
Selected Export Prices and Price Indices

Daily quotations of selected export prices (USD/tonne, 2012-2014)



Daily quotations of selected export prices

	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
(..... USD/tonne)							
Wheat (US No. 2, HRW)	02-Oct	280	281	280	333	-0.4%	-16.1%
Maize (US No. 2, Yellow)	03-Oct	156	159	165	199	-1.7%	-21.6%
Rice (Thai 100% B)	03-Oct	440	453	453	428	-2.9%	2.8%
Soybeans (US No.2, Yellow)	02-Oct	403	406	445	512	-0.7%	-21.3%



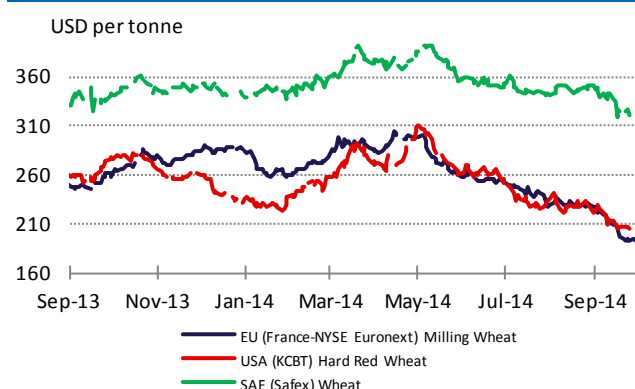
FAO food price indices

		Food Price Index	Meat	Dairy	Cereals	Oils and Fats	Sugar
		(..... 2002-2004 = 100)					
2013	September	203.7	186.1	250.2	195.0	184.3	246.5
	October	206.6	187.3	251.1	196.6	188.0	264.8
	November	205.7	185.7	250.8	194.3	198.5	250.6
	December	206.2	185.6	264.1	192.9	196.0	234.9
2014	January	203.2	182.2	267.7	191.4	188.6	221.7
	February	208.6	181.8	275.4	198.6	197.8	235.4
	March	213.8	185.5	268.5	208.9	204.8	254.0
	April	211.5	190.4	251.5	209.2	199.0	249.9
	May	210.4	194.6	238.9	207.0	195.3	259.3
	June	208.9	202.8	236.5	196.1	188.8	258.0
	July	204.2	205.9	226.1	185.0	181.1	259.1
	August	196.7	207.5	200.8	182.5	166.6	244.3
	September	191.5	207.8	187.8	177.9	162.0	228.2

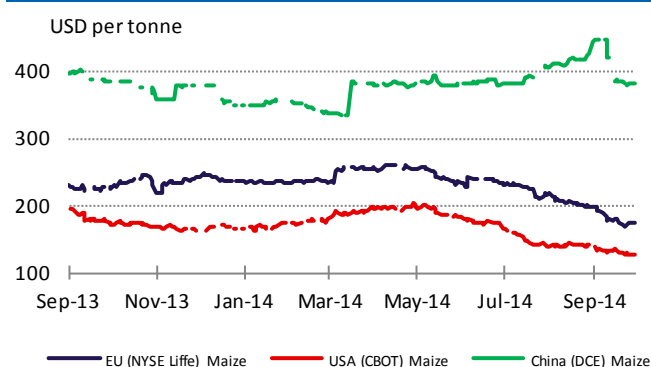
Market Indicators

Daily Quotations from Leading Exchanges - nearby futures

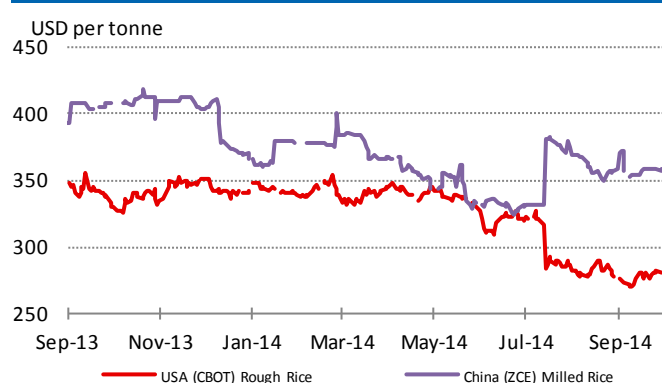
Wheat



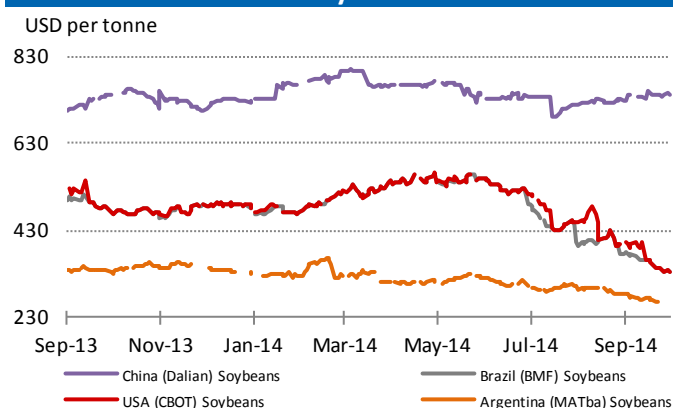
Maize



Rice

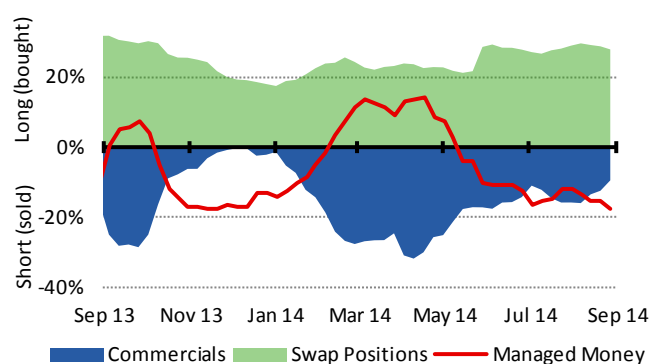


Soybeans

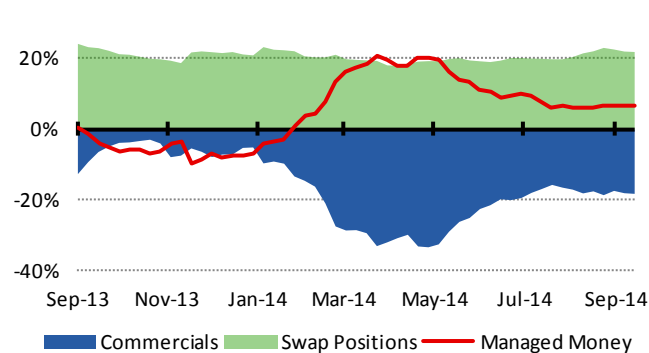


CFTC Commitment of Traders - Major Categories Net Length as % of Open Interest**

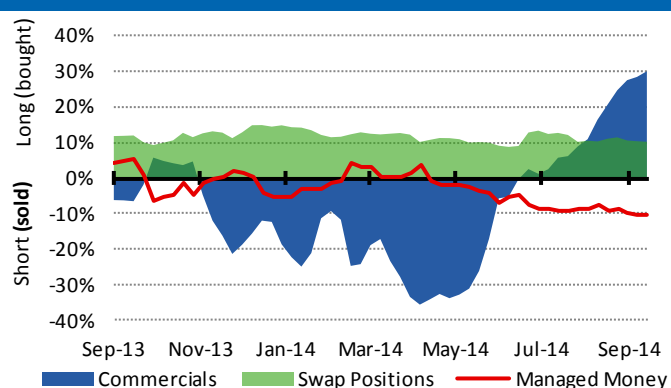
Wheat



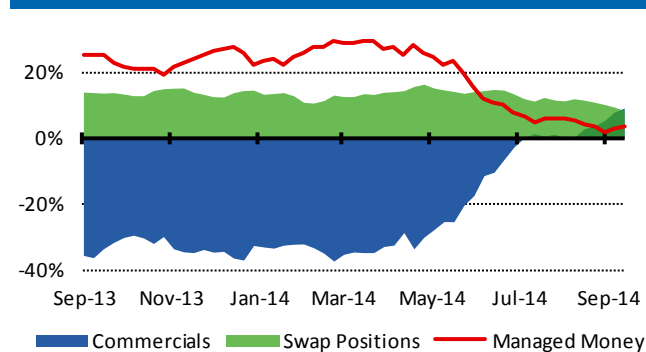
Maize



Rough Rice

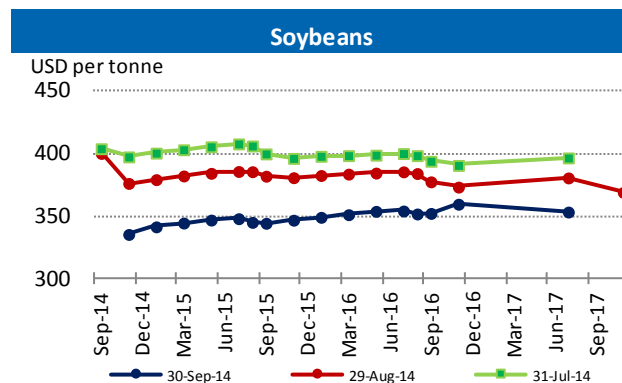
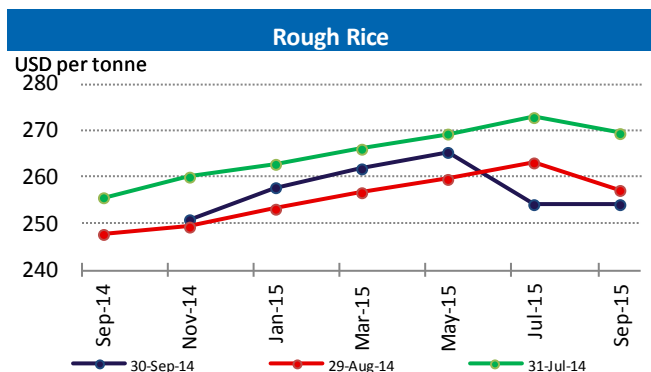
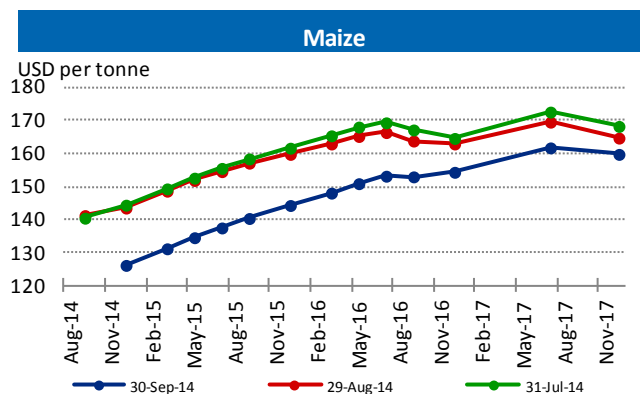
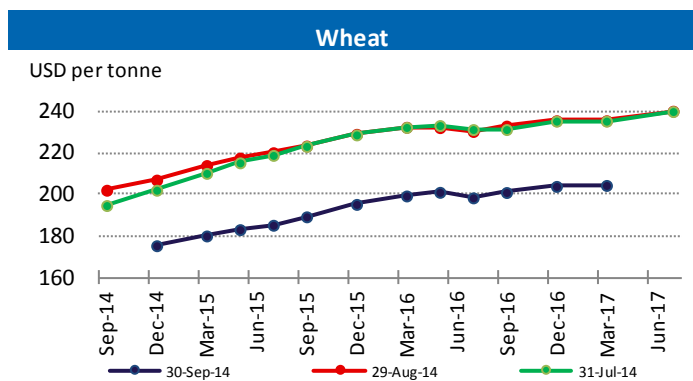


Soybeans

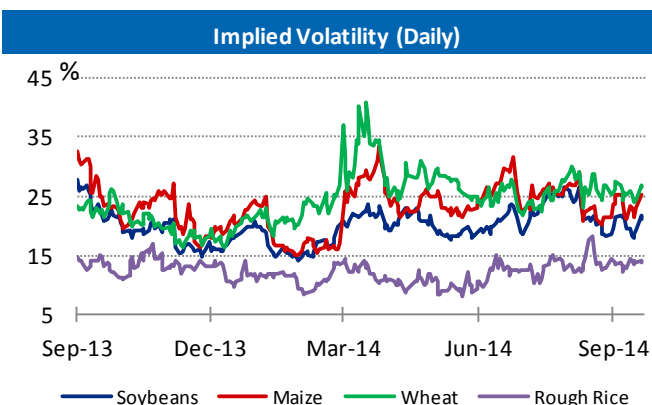
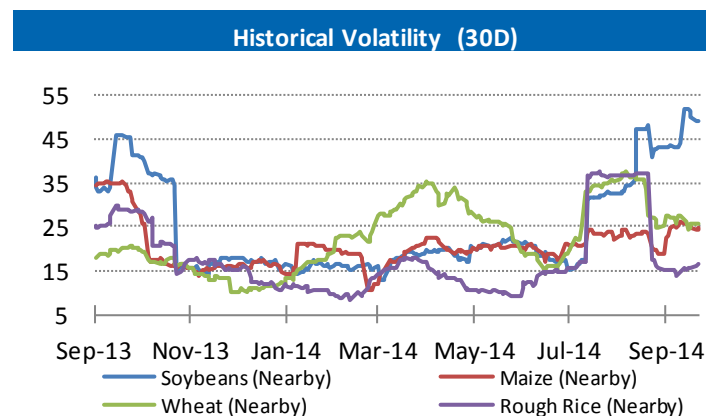


** Disaggregated Futures Only

Forward Curves



Historical and Implied Volatilities



Maize use for Ethanol in the US

Maize Use for Ethanol (excluding non-fuel) in the United States

	2005/06	2006/07	2007/08	2008/09	2009/10	2010/11	2011/12	2012/13	2013/14* estim.	2014/15* (f'cast)
	<i>thousand tonnes</i>									
Maize Production	282,263	267,503	331,177	307,142	332,550	316,166	313,956	273,823	353,709	365,647
Ethanol Use	40,726	53,837	77,453	93,396	116,616	127,538	127,005	117,886	130,180	130,180
Yearly ethanol use change(%)	21%	32%	44%	21%	25%	9.4%	-0.4%	-7.2%	10.4%	0.0%
As Production (%)	14%	20%	23%	30%	35%	40.3%	40.5%	43.1%	36.8%	35.6%

Source: WASDE-USDA. * 11 September 2014

AMIS Market Indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at:

<http://www.amis-outlook.org/amis-monitoring/indicators/>

Explanatory Notes and Calendar

The notions of **tightening** and **easing** used in the summary table of “**World Supply and Demand**” reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts in this report are based on the latest data published by USDA, IGC and FAO. They may vary for many reasons, but mainly because of different methodologies and release dates.

FAO-AMIS: World estimates and forecasts are based on information received from AMIS countries as well as FAO data.

Dates: Refer to the release date of the data from the selected sources: FAO, IGC, and USDA.

Production: Cereal production data refer to the calendar year of the first year shown. Rice production is expressed in milled terms. Soybeans production data refer to the split (i.e. 2013/14) season.

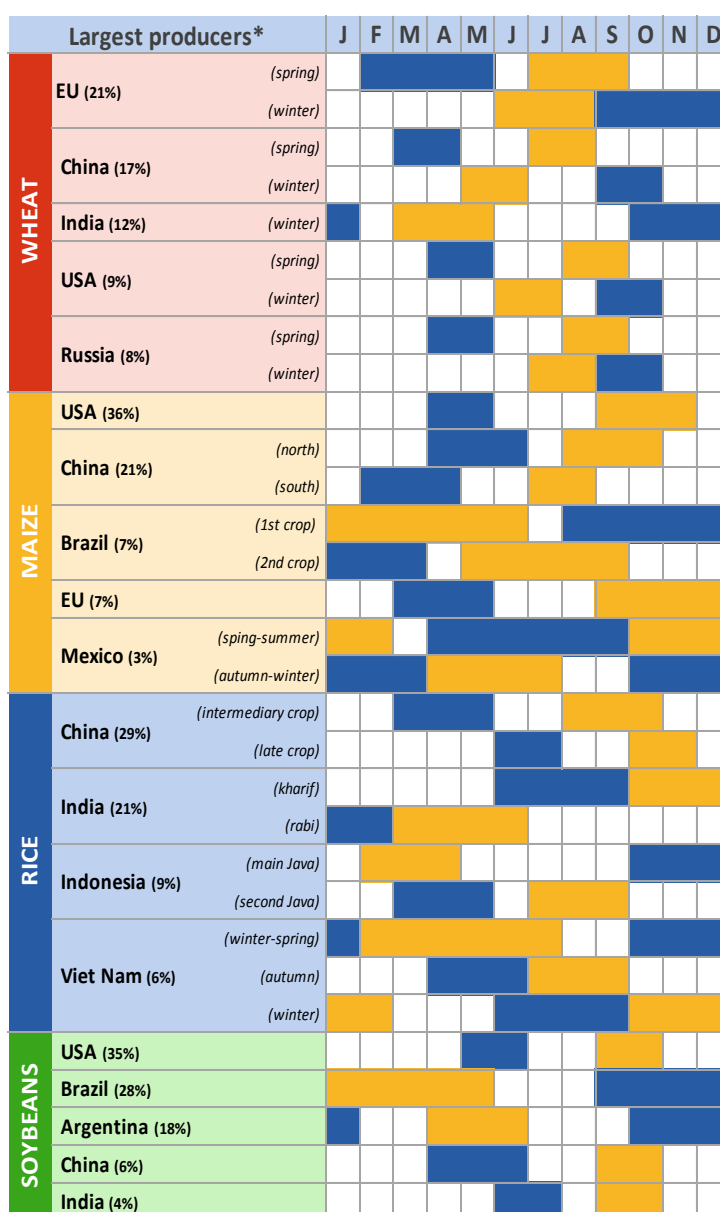
Supply: Defined as production plus opening stocks.

Utilization: For wheat, maize and rice utilization includes food, feed and other uses (“other uses” comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. For rice, trade covers flows from January to December of the second year shown and for soybeans from October to September. Trade between European Union member states is excluded.

Ending Stocks: Data is calculated as the aggregate of carry-overs at the close of national crop seasons ending in the year shown.

AMIS Crop Calendar



* The percentages refer to the global share of production (average 2008-12).

Planting Harvesting

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, Inter-Continental Exchange, IGC, Reuters, USDA, US Federal Reserve, World Bank

2014 Release Dates

06 February, 06 March, 03 April, 08 May, 05 June, 03 July, 11 September, 09 October, **06 November, 04 December**

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